

HCLTECH — HCL Technologies Ltd

Sector: Information Technology | Sub-sector: IT Services

HCL Tech is a leading global IT services company, which is ranked amongst the top five Indian IT services companies in terms of revenues. Since its inception into the global landscape after its IPO in 1999, HCL Tech has focused on transformational outsourcing, and offers an integrated portfolio of services including software-led IT solutions, remote infrastructure management, engineering and R&D; services and BPO. The company leverages its extensive global offshore infrastructure and network of offices in 46

ROE	ROCE	NPM	D/E	FCF (Cr)	Rev CAGR 5Y
23.0%	27.1%	14.3%	0.08	15,840	12.7%

10-Year Financial Trend

Year	Revenue	Profit	ROE	ROCE	FCF
2014-06	32,144	6,528	33.4	35.8	1,615
2015-06	36,701	7,342	30.3	32.5	3,451
2017-03	47,568	8,606	26.1	28.5	5,105
2018-03	50,569	8,722	24.0	26.7	6,092
2019-03	60,427	10,120	24.5	26.0	5,715
2020-03	70,676	11,057	21.6	23.5	1,027
2021-03	75,379	11,169	18.6	23.1	13,953
2022-03	85,651	13,523	21.8	23.7	18,497
2023-03	101,456	14,845	22.7	26.3	14,436
2024-03	109,913	15,710	23.0	27.1	15,840

Financial health score: 59.4 | Band: Moderate

Balance Sheet & Cash Flow Intelligence

Recent Balance Sheet

Year	Equity	Debt	Assets	Liabilities
2021-03	59,913	6,864	86,047	86,047
2022-03	61,914	6,343	88,921	88,921
2023-03	65,405	4,794	93,250	93,250
2024-03	68,263	5,758	99,006	99,006
2024-09	68,875	5,791	99,763	99,763

Recent Cash Flow

Year	CFO	CFI	CFF	Net Cash
2020-03	13,359	-12,332	-3,168	-2,141
2021-03	19,618	-5,665	-11,192	2,761
2022-03	16,900	1,597	-14,508	3,989
2023-03	18,009	-3,573	-15,881	-1,445
2024-03	22,448	-6,608	-15,464	376

Capital allocation: Reinvestor / Returns

CFO quality score: 100 | CapEx intensity: 6.0% | FCF conversion: 65.5%

Pros

ROE above 20% in the latest available year.; Positive free cash flow in the latest available year.; Free cash flow has remained positive for five consecutive years.; Operating cash flow exceeds reported profit, supporting earnings quality.; Interest coverage exceeds 5x.

Cons

No configured risk threshold was triggered; review the underlying KPIs.

